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ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

CANADA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1969

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km.)	9 976
Agricultural area (% of the total area)	7.1
Population of major cities including their metropolitan areas (1966):	
Montreal	2 436 817
Toronto	2 158 496

THE PEOPLE

Population (Oct. 1968)	20 857 000
Number of inhabitants per sq. km.	2
Population, annual net natural increase (average 1961-68)	313 219
Net rate of annual increase per 1 000 inhabitants (average 1961-68)	14.4
Civilian labour force (Dec. 1968)	7 940 000
Employment in agriculture (Dec. 1968)	467 000
Immigration (annual average 1961-67)	131 000
Average annual increase in civilian labour force (1961-67 %)	2.6

PRODUCTION

GNP in 1967 (millions of Canadian dollars)	61 937
GNP per head (Canadian dollars)	2 970
Gross fixed investment (private and public) per head (Canadian dollars)	726
Gross fixed investment (private and public) as % of GNP	24.4
Origin of Gross Domestic Product (1967 % of total):	
Agriculture, forestry and fishing	5.3
Mining and quarrying	4.1
Manufacturing	25.8
Construction	6.3
Public administration	7.3
Other	51.5

THE GOVERNMENT

Government current expenditure on goods and services (average 1961-67 % of GNP)	14.7
Government gross fixed capital formation (average 1961-67 % of GNP)	4.2
Federal Government current revenue (average 1961-67 % of GNP)	15.8
Federal direct and guaranteed debt % of current expenditure (average 1961-67 %)	284.9

Composition of Parliament (Number of seats):

	House of Commons	Senate
Liberals	155	83
Conservatives	72	14
Ralliement Creditiste	—	—
Social Credit	14	—
New Democratic	21	—
Independents	1	—
Vacant	1	5

Last election: June 1968.

LIVING STANDARDS

Food consumption, calories per head per day, 1965-66	3 130
Number of television receivers in use per 1 000 inhabitants (1966)	275
Number of passenger cars in use per 1 000 inhabitants (1966)	265
Number of telephones per 1000 inhabitants (1966)	380
Average hourly earnings in manufacturing (Canadian dollars, 1967)	2.40

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP (average 1961-67)	21.8
Main exports 1967 (% of commodity exports):	
Wheat	7.0
Newsprint	8.4
Lumber	4.2
Woodpulp	4.8
Non-ferrous metals and alloys	10.3
Ores, concentrates and scrap	9.2
Motor vehicles	14.5
Machinery	7.6
Main customers 1967 (% of commodity exports):	
United States	64.4
United Kingdom	10.3
European Economic Community	6.0
Imports:	
Imports of goods and services as % of GNP (average 1961-67)	23.4
Main imports 1967 (% of commodity imports):	
Industrial materials	23.0
Motor vehicles and parts	20.7
Producers' equipment	24.0
Consumer goods	16.7
Main suppliers 1967 (% of commodity imports):	
United States	72.4
United Kingdom	6.1
European Economic Community	5.7

THE CURRENCY

Monetary unit: Canadian dollar.

Currency units per US dollar (fixed rate introduced May 1962): 1.081.

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CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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CONTENTS

Introduction **5**

I Recent trends **6**
The Pattern of Demand 6
Output and Employment 9
Prices and Costs 12
The Balance of Payments 16
The Foreign Exchange Crisis 16
The Current Account 18
The Capital Account 19
Export Performance 23

II Economic Policy **24**
Fiscal Policies 24
Monetary Policy and Financial Developments 28

III Prospects and Policy Conclusions **32**
Prospects 32
Policy conclusions 33

TABLES

IN TEXT:

1 Change in GNP 8
2 Trends in Output, Productivity, and Employment 10
3 Trends in Population, Labour Force, Employment, and the Unemployment Rate 11
4 Prices 13
5 Earnings, Productivity and Labour Costs 15
6 Canadian Reserve Position 17
7 Balance of Payments—Current Account 20
8 Balance of Payments—Capital Account 21

9	Merchandise Exports	23
10	The Federal Budget for Fiscal Years 1966-70	26
11	Federal Revenue and Expenditure, National Accounts Basis	27
12	Provincial and Municipal Revenue and Expenditure, National Accounts Basis	29
13	Selected Monetary Indicators	30

STATISTICAL ANNEX:

A	Gross National Product and Expenditure	39
B	Industrial Production, Employment and other Business Indicators	40-41
C	Prices, Wages and Finance	42-43
D	Balance of Payments 1960-67	44
1a	Exports of Total Merchandise	45
1b	Exports of Food, Beverages, Tobacco, Feeding Stuffs, Oils, Seeds, etc.	46
1c	Exports of Capital Goods (Machinery, Equipment and Instruments for Investment)	47
1d	Exports of Road Motor Vehicles	48
1e	Exports of other Manufactures	49
1f	Exports of Inedible Crude Materials and Basic Manufactures	50

DIAGRAMS

1	Interest Rates	31

INTRODUCTION

The expansion of economic activity quickened markedly in 1968, following the slowdown in 1967. The first half acceleration was largely caused by a sharp expansion of exports, responding to developments in the United States. Nevertheless, the unemployment rate climbed in the first half, continuing a trend begun in 1966. Wage increases and new collective bargaining settlements remained quite high, well above gains in productivity, and cost/price trends continued to be unsatisfactory. The expansion was stronger than expected in the second half; indeed, a sharp fourth quarter acceleration will probably mean that the second half will have almost matched the first half pace. Reflecting this continued strength, the unemployment rate receded somewhat in the second half and dropped sharply in January, 1969. The Government has taken policy measures designed to moderate the expansion of demand and improve the cost/price performance. These are aimed at maintaining the expansion of activity about parallel with the growth of capacity, but the Canadian authorities will need to watch carefully the course of demand south of the border.

The Canadian dollar weathered a severe speculative attack early in 1968, and has since shown renewed strength. The sharp increase in exports led to the smallest deficit in the current account of the balance of payments recorded since the early 1950's. There was some deterioration after mid-year, with a levelling off of exports. In 1969, the current account deficit is likely to increase, given notably the less buoyant prospects for exports to the United States, but it may remain low compared with the deficits incurred before 1967.

The first part of this survey describes current trends in the domestic economy and the balance of payments. Part II reviews the policy measures of the past year. Part III evaluates prospects and discusses the major policy problems with which economic policy is likely to be faced in 1969.

I RECENT TRENDS

In 1968, GNP[1] probably rose by about 4.5 per cent, near the estimated growth in potential.[2] This, although well below the annual growth rate of nearly 6 per cent achieved since the beginning of the current expansion since 1961, nevertheless represented a substantial acceleration from the 2.8 per cent gain registered in 1967. According to provisional figures (Table 1) there was a rapid expansion in the first quarter of 1968, followed by a sharp slowing in the second, and then a pick-up to a more normal rate of growth in the third quarter.[3] Although fourth quarter figures are not yet available, they will probably show a significant acceleration, in contrast to the slowing pattern in the United States. The second half of the year will probably have registered a rise over the previous half at an annual rate of about 5 $^1/_4$ per cent, compared with about 6 per cent in the first half.

The Pattern of Demand

The major force behind the acceleration in demand during the first half of 1968 was a striking surge in exports of goods and services, which increased at an annual rate of 26 per cent over the previous half-year. In absolute terms the increase somewhat exceeded the expansion in GNP over the same period.[4] Factors underlying this rapid expansion are analysed in more detail later in the context of the review of balance of payments developments. The increase in merchandise exports more than accounted for the gain (since service exports declined with the end of Expo 67); the bulk of the increase went to the United States, where a rapid expansion in demand had set off an extremely sharp rise in imports. Augmenting the effect on Canadian exports of the expansion in overall US demand were actual and threatened strikes, and a sharp increase in automotive trade under the 1965 US-Canadian automotive trade agreement.

Goods and services imports also increased sharply in the first half of 1968, rising at an annual rate of 17.5 per cent. Most of this increase, concentrated in the first quarter, reflected expanded imports of automotive

1 Unless otherwise noted, discussion of national accounts data here and below refers to constant (1957) dollar amounts, seasonally adjusted. The discussion is based on preliminary figures available at the time of writing. Newly released revisions were received too late to be incorporated.

2 The long-term growth rate in potential has been estimated at 4.6 per cent, reflecting a trend growth rate in the labour force of about 2.6 per cent, and of output per employed person of 1.9 per cent per year. Recently, however, growth in the labour force has been substantially higher, averaging about 3 $^1/_2$ per cent in the three years 1965-1967.

3 The unevenness of this pattern seems to have reflected variations in agricultural output. Current dollar GNP excluding net income of farm operators showed an approximately equal deceleration in the second and third quarters (Table 1).

4 In current prices the increase in exports amounted to about two-thirds of the gain in GNP.

products, also in response to the trade agreement with the United States. The increase in the net foreign balance accounted for about 2 percentage points, or nearly one-third, of the annual rate of increase in GNP in the first half. In the third quarter, export volume declined somewhat, and imports resumed their rise after a pause in the second quarter. The decline in the net foreign balance amounted to about 1 per cent of GNP.

Government expenditure on goods and services also provided an impetus to 1968's first-half acceleration. Relatively unchanged in the previous half-year, government purchases in value terms advanced at an annual rate of about 11 per cent. Provincial and municipal spending, accounting for about two-thirds of total government purchases, and Federal non-defence expenditure increased rapidly, while defence spending was declining. In the second half, government spending eased off somewhat, rising at an annual rate of about 9 per cent.

Non-residential fixed investment declined substantially in 1967 after rising at a very rapid and unsustainable pace in the previous three years. This adjustment, while more severe than in the United States, was less drastic and prolonged than occurred after the capital boom of 1955-1957. 1968 showed signs of recovery from the trough reached in the fourth quarter of 1967. In the first half, the volume of capital outlays grew at an annual rate exceeding 7 per cent. The second half probably saw a further increase to a level not far below the 1967 average. The mid-year review of the investment outlook published in September put planned expenditure in current dollars about 1.5 per cent above the 1967 level, a gain more than accounted for by price increases. The review indicated a strong increase in the fuel and power industries, but a current dollar decline in manufacturing.

Housing starts rebounded quite strongly after the trough in late 1966, responding to the more favourable financial conditions prevailing in 1967 following the credit squeeze in the latter half of 1966, and reflecting a strong underlying demand. After a very sharp increase early in 1968, seasonally adjusted starts fell in the second and third quarters. But there was a strong rebound in the fourth quarter, and for the year starts were at a record level of nearly 200 000 units. Housing construction registered an increase at a 5 per cent annual rate in the first half, declined substantially in the third quarter from the second quarter's high level, but remained above the first-half average. The fourth quarter probably has registered a significant gain.

Consumer spending grew at about the same rate as GNP in 1968. The proportion of personal disposable income spent on consumption was slightly above that prevailing in 1967. Consumer spending on durables, especially on automobiles, was more dynamic; durables spending increased at an annual rate averaging about 20 per cent over the first three quarters, and, in the same period, absorbed a higher proportion of disposable income

Table 1 **Change in GNP**

Seasonally adjusted percentage changes at annual rates

	1965	1966	1967	1967 I 1966 II	1967 II 1967 I	1968 I 1967 II	1968 Q1 1967 Q4	1968 Q2 1968 Q1	1968 Q3 1968 Q2
Constant (1957) Prices:									
Personal expenditure	6.0	5.1	4.8	4.0	4.1	4.2	7.1	—0.7	10.5
Durables	11.7	4.3	2.0	—3.7	5.2	6.5	26.7	—1.2	41.2
Non-durables and services	5.1	5.2	5.2	5.3	4.0	3.9	4.3	—0.6	6.1
Government expenditure on goods and services	5.8	10.8	3.3	0.5	—0.8	6.1	2.6	6.7	—5.3
Non-residential business fixed investment	20.9	16.9	—4.0	—0.4	—22.3	7.3	28.0	—13.2	17.5
Residential construction	0.1	—3.5	0.4	—0.6	32.9	5.0	—6.8	48.3	—8.1
Final domestic demand	7.1	7.5	2.9	2.5	—0.6	5.0	8.6	0.2	7.9
Inventory investment[1]	1.4	—0.1	—1.5	—1.6	0.5	—0.6	1.9	—1.0	1.2
Total domestic demand	8.4	7.3	1.4	0.9	0	4.4	10.6	—0.8	9.1
Exports of goods and services	5.1	12.3	9.9	19.8	—4.1	26.3	40.4	14.2	—4.3
Imports of goods and services	12.5	12.9	4.9	7.5	—6.9	17.5	43.5	—0.2	12.1
Foreign balance[1]	—1.7	—0.3	1.1	2.6	0.8	1.9	—0.6	3.8	—4.4
GNP[2]	6.9	6.5	2.8	4.3	0.8	6.1	10.0	3.2	4.7
Current Prices:									
GNP	10.1	11.3	6.8	8.4	4.0	9.8	14.0	7.6	8.3
GNP excl. net income of farm operators	10.1	10.6	10.8	9.8	5.7	9.3	11.7	9.4	7.6

1 The changes are expressed as a percentage of GNP in the previous initial period. These two items and the rate of change of final domestic demand broadly equal the rate of change of GNP.

2 Including residual error of estimate.

Source: Dominion Bureau of Statistics. Preliminary Estimates.

than in the previous year. Spending on non-durables and services was relatively cautious, increasing at an average annual rate of less than $3\frac{1}{2}$ per cent over the first three quarters. Just as in the United States, there were sharp quarterly swings in consumer behaviour, with large spending increases in the first and third quarters, and a slight decline in the second. In the last quarter of the year, there appears to have been further pick-up in the advance of consumer purchases in contrast to the experience in the United States. Corresponding to these swings, the personal saving ratio dropped about 1½ percentage points in the first quarter, rose more than 3 points in the second, and fell again by about 1¾ points in the third quarter. These swings, however, were exaggerated by an uneven trend in disposable income, reflecting irregular personal tax collections. For the first three quarters together, the saving ratio was not very different from its 1964-1967 average, though about one percentage point below the rates prevailing in the two later years.

Inventory investment continued to be weak in 1968. Non-agricultural stockbuilding averaged about one-third of a per cent of GNP over the first three quarters, not far from the average rate of 1967, but far below the heavy rates of accumulation in 1965-1966. Non-farm inventories recovered from a liquidation in the fourth quarter of 1967, to approximate zero accumulation in the first quarter, and registered successively higher rates in the second and third quarters. Almost 80 per cent of the non-farm stockbuilding over the first nine months was at the retail level; inventories in manufacturing showed little gain, and at the end of October the stock-shipments ratio in manufacturing was well below average levels of the 1960's. Agricultural inventories rose in the first quarter, but declined over the following six month period. As Table 1 indicates, the fluctuations in inventory accumulation accentuated the irregular advances in final demand over the first three quarters of the year.

Output and Employment

The index of real domestic output registered a 4¼ per cent gain in 1968. The time path was rather different than that of GNP, with a large increase in the second, instead of the first quarter. Excluding agriculture, the increase was the same with a similar time path (Table 2). Industrial production showed a 5 per cent increase for the year. Both series showed a marked acceleration in the fourth quarter. In manufacturing, the year's gain was 4½ per cent, with durables showing the largest gain after a drop in the first quarter reflecting industrial disputes. Very large increases were registered in petroleum and natural gas, and substantial increases in the output of utilities.

Table 2 **Trends in Output, Productivity, and Employment**
Percentage changes, quarterly data seasonally adjusted at annual rates

	1963	1964	1965	1966	1967	1968	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
Non-agricultural output[1]	4.6	7.4	7.0	5.6	3.6	4.2	2.6	2.3	2.6	6.9	4.8	7.3
Non-agricultural output per employee	1.7	3.0	2.2	0.2	–0.4	2.4	0.2	2.9	0.8	1.7	0.9	2.0
Non-agricultural employment	2.9	4.4	4.8	5.4	3.2	2.5	2.4	–0.6	1.8	5.1	3.9	5.2
Total employment	2.4	3.7	3.8	4.2	3.2	2.1	3.1	–1.6	1.2	5.4	2.5	4.6

1 Index of real domestic product excluding agriculture.
Source : Bank of Canada Statistical Summary; OECD Secretariat.

The 1968 expansion resulted in a strong growth in employment; total employment grew at an average rate of 3 per cent over the twelve months, with particularly large increases in trade and services (Table 3). If the labour force had grown at the projected long-term annual rate of about 2¾ per cent, the expansion of 1968 would have led to some decline in unemployment, reversing the trend towards higher unemployment rates begun in 1966. In the event, however, the labour force grew at a slightly more rapid rate; the unemployment rate continued to rise in the first half, exceeding 5 per cent in the summer. But in the last two months of the year, a substantial increase in employment lowered the unemployment rate below 5 per cent.

Table 3 shows the sources of the persistent acceleration in the growth of the labour force from 1962 through 1966. Population growth has accelerated, due to rising immigration rates which about tripled between 1962 and 1967. In part, this was due to active immigration policy designed to relieve labour supply shortages arising in the 1965-1966 period. In addition, there were accelerating increases in the participation rate between 1963 and 1966, due largely to increased numbers of women actively seeking employment, and to the large proportion of immigrants entering the labour force. The rate of labour force growth peaked temporarily in 1966 and 1967; but during 1968 it accelerated in both the early and later months of the year with the recurrence of substantial increases in participation rates. Changes in participation rates, and therefore in labour force growth, appear to have been sensitive to underlying economic conditions, and show considerable variation from year to year. The rate of immigration declined somewhat in 1968. It remains to be seen whether the trend of labour force growth will fall back below 3 per cent per year. If not, the rate of increase in output required to reduce or prevent a rise in unemployment may have to be higher than envisaged earlier.

Table 3 **Trends in Population, Labour Force, Employment, and the Unemployment Rate**

	1962	1963	1964	1965	1966	1967	1968	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
Per cent change, civilian non-institutional population (14 years of age and over)	1.9	2.1	2.2	2.4	2.6	3.0	2.8	0.8	0.7	0.7	0.7	0.7	0.6
(annual rates)								(3.2)	(2.7)	(2.7)	(2.8)	(2.8)	(2.6)
(Participation Rate[1])	53.9	53.8	54.1	54.4	55.1	55.5	55.5	55.6	55.2	55.1	55.7	55.6	55.8
Per cent change in Participation Rate[1]	0.4	—0.1	0.5	0.6	1.2	0.7	0.0	—0.2	—0.7	—0.2	1.1	—0.2	0.4
Per cent change in civilian labour force[2] (seas. adj.)	1.4	2.0	2.7	3.0	3.9	3.7	2.9	0.6	0.1	0.3	1.8	0.6	1.0
(annual rates)								(2.5)	(0.5)	(1.3)	(7.3)	(2.5)	(4.1)
Per cent change in employment (seas. adj.)	2.8	2.4	3.7	3.8	4.2	3.2	2.1	0.7	—0.4	0.3	1.3	0.6	1.1
(annual rates)								(2.6)	(—1.6)	(1.2)	(5.4)	(2.5)	(4.6)
Change in unemployment rate[3] (seas. adj.)	—1.2	—0.4	—0.8	—0.8	—0.3	0.5	0.7	0.0	0.5	0.0	0.4	0.0	—0.1
Unemployment rate	—5.9	5.5	4.7	3.9	3.6	4.1	4.8	4.1	4.6	4.6	5.0	5.0	4.9

1 Civilian labour force, seasonally adjusted, as per cent of civilian non-institutional population.

2 This line is equal to the sum of the percentage change in the civilian non-institutional population and per cent changes in the participation rate given above (neglecting the compounding factor) except for discrepancies due to rounding.

3 This line is approximately equal to the per cent change in civilian labour force less per cent change in employment (given above).

Source : Bank of Canada Statistical Summary; OECD Secretariat.

Prices and Costs

Over the past three years, a serious problem for the Canadian economy has been the persistent and rapid increase in prices and costs. Price and wage movements accelerated very sharply in the 1965-1966 boom period. Since then, the overall price trend has decelerated somewhat, although less than might have been hoped. In 1966 and 1967 a major cause of the continuing relatively strong rise in prices, despite easier demand conditions, appears to have been the persistent tendency for wage settlements and rates to rise at rates above 6 per cent, while productivity has grown at a very sluggish pace in the same period. In 1968, non-wage costs were also an important factor in the continiung increase in prices under stronger demand conditions.

Table 4 displays some of the most important price indicators. In terms of the broadest concept, the overall GNP deflator, there was a deceleration in 1967, when the economy's growth was sharply reduced. This improvement, however, was largely due to much slower increases in food prices. In 1968, over the first three quarters, there was some further slowdown in this index, despite the pick-up in economic activity. The deflator for consumption purchases, however, shows no deceleration in 1968. The consumer price index accelerated somewhat; in terms of within-year movements, the rate of increase was much the same in 1968 as in 1967.

Looking at the major components of the consumer price index, it is clear that excluding the sharp deceleration in food prices after 1966 there has been a continued acceleration of price movements. In 1966, a sharp rise in food prices—due to specific supply conditions more than overall demand pressures—accounted for more than 40 per cent of the increase in the total consumer price index.[1] In 1967, there was a much smaller increase in food prices, but non-food prices rose faster than earlier and continued to grow at a rapid pace in 1968. Food prices accelerated sharply again in the second half of 1968. Prices in the service sector, mainly reflecting wage costs, have risen particularly rapidly. The rise in shelter costs has been a major element, especially in 1968; this reflected increases in property taxes and mortgage interest rates, as well as increases in rents. In early 1968, indirect tax rates, including property and retail sales taxes, rose considerably. This has accounted for about one-fifth of the total increase in the consumer price index during the past two years. A notable exception to the upward trend in 1968 was the virtual stability in the price of consumer durables.

The deceleration in the wholesale price index in 1967 was due entirely to the slower rise in food prices. The index of non-farm prices increased by

1 Food receives a 27 per cent weight in the overall index.

Table 4 **Prices**

Rates of increase

	1963	1964	1965	1966	1967	1968
GNP deflator	1.8	2.6	2.9	4.6	4.0	3.8[1]
Consumer purchases of deflator	1.5	1.5	1.9	3.5	3.3	3.4[1]
Consumer price index	1.8	1.8	2.4	3.7	3.5	4.0
Food	3.2	1.6	2.6	6.3	1.4	3.3
Total, excl. food	1.2	1.9	2.4	2.8	4.4	4.4
Non-food goods	0.8	1.0	1.1	2.1	3.7	3.7
Services, except shelter	2.0	3.7	6.1	4.4	6.2	4.4
Shelter	1.7	2.5	2.6	3.2	4.7	6.0
Wholesale price index	1.9	0.3	2.0	3.6	1.8	2.1
Export price index	0.6	1.4	1.3	4.1	2.1	3.4

1 Average increase over first three quarters at a seasonally adjusted annual rate.

Source : Dominion Bureau of Statistics, Bank of Canada Statistical Summary.

less than 2 per cent in 1966, but has been rising at about a 2½ per cent annual rate since then, and was accelerating near the end of 1968. Export prices have shown similar movements. The recent strength in export prices is partly due to the sharp increase in copper prices which accompanied the labour stoppages in the United States in 1967-68.

Demand pressures, and the rapid rate of increase in demand in 1965-66 were clearly important factors in price developments through 1966. Demand pressures subsequently eased considerably (although regional pressures still remained strong in many areas), and the rise in labour costs would seem to have been the main factor behind the price rise in 1967; in 1968, with stronger demand conditions, both wage and non-wage costs increased. The wage-cost-price spiral which was set in motion during the boom period continued to operate in 1967 and 1968 (Table 5). Increases in wages and salaries per worker in the non-farm economy, which were below 4 per cent per year in 1963-64, have accelerated to above 6 per cent per year since then. The rise in hourly earnings in manufacturing, averaging 6.4 per cent a year in 1966-67 (year-over-year increase), accelerated to a seasonally adjusted annual rate of about 8 per cent in 1968. In that year, however, wage costs changed little, and there was a significant improvement in the profit position of many industries. Wage settlements in all industries have about doubled since the 1963-64 period, increasing at an annual rate well above 8 per cent in the last two years, although there has been some sign of deceleration from the beginning of 1967 to the end of 1968.

At the same time the rise in productivity, as crudely indicated in the series shown in Table 5, diminished sharply after 1965. The performance has been particularly poor in the service sectors, which at times have shown

declines in productivity.[1] In manufacturing the rise in productivity recovered strongly in 1968; in the total economy, however, this was offset to some extent by a decline in the service sector.

With a strong upward movement of wages and little rise in productivity, labour costs per unit of output increased sharply in 1966 and 1967, squeezing profit margins and exerting strong upward pressure on prices. Profit margins in manufacturing declined from their annual peak of 6.6 per cent in 1963 to 5 per cent in 1967. In manufacturing, the situation improved in 1968 when the rise in productivity recovered; the increase in unit labour costs slowed down and profit margins improved. But it is uncertain whether the better productivity performance was a temporary feature or a more lasting phenomenon. To some extent it may be explained by the very strong rise in demand directed towards certain sectors (notably the base metal industries) where output could be considerably increased without much additional labour. As this situation was importantly influenced by strong US demand for certain primary metals due to actual or possible strikes, temporary factors may have been partly responsible for the better productivity performance in manufacturing in 1968. On the other hand, some of the slowing of overall productivity growth since 1966 is a normal reflection of the cyclical slowdown in the economy. Output increases since then have been concentrated in service sectors, where output per employee is relatively low; also, there was probably some retention of marginal workers in manufacturing. More rapid growth would be expected to bring about some improvement.

Wage developments over the last few years have therefore been a matter of considerable concern for policy makers. There are two features in this experience which have caused some surprise—the size of the wage settlements and the fact that they have persisted for so long, despite a marked easing of demand pressures, particularly in the labour market.

It was suggested in last year's OECD Economic Survey of Canada that long-term influences may have been a factor behind the size of the wage settlements in recent years. The rise in wages has entailed some change in the income distribution in favour of labour, a feature well in line with earlier cyclical experience. Profits rose strongly during the first years of the current expansion, reflecting, in particular, higher capacity utilisation and the exchange rate depreciation of the 1960-1962 period. In 1966 and 1967 the share of profits in the national income declined, but in 1968, there was a recovery in profits, and the profits share.

1 Productivity measurements in the service industries, however, are subject to serious statistical and conceptual problems.

Table 5 **Earnings, Productivity and Labour Costs**
Percentage changes, seasonally adjusted

	1963	1964	1965	1966	1967	1968	1966 IV	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
Wages and salaries per worker															
Non-farm	3.7	3.4	5.7	6.3	5.8		1.9	1.1	1.5	1.4	1.2	1.6	1.6	1.0	
Manufacturing	3.1	3.8	5.1	5.7	6.3		1.9	0.9	2.8	1.9	0.8	1.7	3.0	1.3	
Output per worker															
Non-farm	1.7	2.0	1.5	—	0.2	1.7	0.4	—0.5	1.2	0.1	0.7	0.2	0.4	0.2	0.5
Manufacturing	3.8	4.4	4.0	1.7	0.6	5.4	—0.2	—0.9	2.0	0.0	1.4	0.7	3.1	0.3	1.6
Wages and salaries per unit of output															
Non-farm	2.0	1.4	4.1	6.3	5.4		1.5	1.7	0.3	1.3	0.5	1.4	1.2	0.8	
Manufacturing	—0.7	—0.6	1.1	3.9	5.7		2.1	1.3	2.2	1.0	—0.7	1.0	—0.2	1.0	
Corporate profits per unit of output															
Non-farm	4.9	7.2	0.7	—6.3	—5.6		5.1	—7.2	0.5	4.4	1.1	0.4	4.7	4.3	
Manufacturing	5.4	—0.7	—2.2	—9.4	—4.2		3.2	—5.5	1.9	4.7	5.5	0.6	6.4	—0.4	
Hourly earnings in manufacturing[1]	3.7	3.6	4.9	6.1	6.7	7.5	6.0	6.6	6.3	10.5	5.7	2.6	14.2	7.4	7.9
Wage settlements negotiated in period —all ind. excl. constr.	3.3	4.9	5.6	8.0	8.6	8.1	n.a.	8.9	9.2	7.9	8.6	7.4	8.0	8.5	7.5

1 Per cent change over preceding period. Quarterly, per cent change at annual rate.
2 Average annual percentage increases in base rates under new settlements, over the term of the agreement for negotiating units covering 500 employees or more in industries other than construction.

Source: Economic White Paper for 1968; Bank of Canada Statistical Summary, Canada Dept. of Labour.

The persistence of rapid wage increases and large wage settlements in the face of easing demand pressures may be partly explained by the length of the wage contract periods prevailing in Canada. In the manufacturing sector, and more especially in the durable goods industries, about 85 per cent of the settlements made in 1967 (by number of employees covered) were for contracts with a life of more than 2½ years. For all industries, excluding construction, the proportion was more than half. Therefore the strong increase in wage rates becoming effective in 1968 was partly influenced by the large settlements made in the two preceding years. It was also to some extent due to the heavy incidence of "front loading"[1] in more recent long-term contracts. This has meant that even cases where the average annual increase provided by a settlement made in 1968 was smaller than increases under settlements made in 1966 or 1967, the rise in rates effected in 1968 remained high. The long contract period had also been a factor in the persistence of the large size of newly-negotiated wage increases in the face of easier demand conditions. Settlements providing pay increases of 8 per cent or more a year did not become typical until early in 1966. This has meant that it was not until 1968 that the employees covered by smaller 3 year contracts made in 1965 had an opportunity to catch up with those covered by larger settlements made after 1965. The hypothesis that this catching-up factor has been of some importance is supported by the recent tendency for settlements in shorter-term contracts to be distinctly smaller (at an annual rate) than longer-term settlements; i.e. in sectors which have already benefited from one round of "large" pay increases, the size of new settlements has tended to come down. There may therefore be grounds for hoping that the rise in average effective wage rates as well as the size of new settlements will gradually come down.

The Balance of Payments

1968 was featured by two major balance of payments developments: first, the successful defence of the Canadian dollar from a severe speculative attack during the early months of the year; second, a strong performance on current external transactions, which produced a surplus on current account in the first half of the year, and which, despite some second half deterioration, yielded the smallest current account deficit since the early 1950's.

The Foreign Exchange Crisis

The run on the Canadian dollar in the first three months of the year was precipitated by several factors. There was some worry about the Cana-

1 Contracts in which wage gains are concentrated in the early part of the settlement period.

dian current account position occasioned by fears about the impact of cost/price developments on the competitive position of Canadian industry. The favourable effects of Expo '67 on tourist receipts were coming to an end. The developing international financial crisis raised doubts about the viability of the international monetary system, and on 1st January, the United States announced new tightened and mandatory controls on capital outflows in an effort to combat its balance of payments deficit. This development created worries about the ability of Canada to continue to finance its usual current account deficit through heavy capital imports from the United States. This combination of events led to a crisis of confidence and a substantial net outflow of capital in the first quarter—US $483 million compared with a US $148 million inflow in the previous quarter. The resultant impact on the Canadian reserve position is seen in Table 6 below:

Table 6 **Canadian Reserve Position**
Millions of US dollars at month end

	Dec. 1967	Mar. 1968	June 1968	Sept. 1968	Dec. 1968
Official holdings of gold and US dollars	2 268	2 244	2 574	2 534	2 826
IMF position[1]	248	—185	—64	1	21
Federal Reserve swaps outstanding	—	—250	—125	—	—
Net total	2 516	1 809	2 385	2 535	2 847

1 Net creditor position or obligation to repay (—).
Source: Bank of Canada Statistical Summary.

The heavy foreign exchange losses in the first three months led the authorities to take a number of measures. The Bank Rate was raised a percentage point in January, and a further half point in March, to 7.5 per cent, and further measures of monetary restraint were taken. The chartered banks agreed not to facilitate abnormal transfers of funds abroad by Canadian subsidiarise of foreign companies. The Bank of Canada augmented official reserves through activation of part of its swap arrangement with the US Federal Reserve System. On 21st January, the US Secretary of the Treasury issued a statement making clear that abnormal transfers from Canada were not expected to result from the programme, and that there was still scope for continued large capital flows from the United States to Canada. However, pressure on the Canadian dollar continued in February, and Canada drew US $426 million from the International Monetary Fund. In March, with intensified pressure, Canadian banks and other financial institutions were requested to not facilitate swap deposits so as to avoid further short-term outflows. After negotiations with US authorities, Canada was completely

exempted from US capital controls. The Canadian Government, in turn, announced that it would take measures to prevent Canada from being used as a "pass-through" for capital leaving the United States for other destinations; and that Canada would invest excess working balances of foreign exchange in non-liquid US government securities. In the meantime, an extensive system of standby credits was arranged, including arrangements with the US Export-Import Bank, and with Italy, Germany, and the BIS, supplementing the existing swap arrangements with the US Federal Reserve.

The effect of these measures, combined with the improved international monetary situation after mid-March, led to a sharp turnaround in confidence and in capital flows. In the second quarter, there was a US $571 million capital inflow, including substantial Canadian government borrowing in the United States, Germany, and Italy. As a result, the reserve position improved substantially. By September, the net reserve position was somewhat better than at the beginning of the year, and continued to improve in the last months of the year. In December, the arrangements between the United States and Canada were reviewed and restated. The basic principle was reiterated that it would not be Canada's intention to achieve a permanent increase in its foreign exchange reserves through borrowing in the United States. Canada's need for flexibility of monetary policy was recognized, and it was agreed that implementation of the basic principle of the arrangements did not require that Canada's reserve level be limited to any particular figure.

The Current Account

The sharp improvement in the Canadian current account in 1968 was the more dramatic for being rather unexpected. The main cause of the improvement in 1967 had been the favourable swing—of about US $450 million—in the net balance on tourist expenditure, due mainly to Expo '67. With this favourable factor ending, a deterioration of the current account was generally expected in 1968. In the event, the deterioration on travel account was swamped by a large improvement in the trade balance. This improvement, which actually began in the fourth quarter of 1967 with a rapid surge of exports to the United States, yielded a surplus on merchandise trade of US $1.2 billion, compared with one of only US $0.4 billion in the previous year. With net invisibles deteriorating, as expected, the current account still gained a substantial amount, achieving a deficit in the year as a whole of only US $166 million. This compared with 1967's deficit of US $502 million, and deficits exceeding US $1 billion in each of the two preceding years.

Exports began a remarkable surge in the fourth quarter of 1967, rising by more than 10 per cent (actual rates seasonally adjusted) in two

successive quarters, before slowing to much smaller gains during the subsequent period. In the second quarter exports were 17 per cent above the same quarter in 1967; exports to the United States had risen by 26 per cent, accounting for almost 95 per cent of the overall increase. Sharply increased exports of automotive products, still being affected by the impact of the 1965 US—Canadian automotive trade agreement, accounted for about half the export increase to the US. The acceleration in US domestic demand and production, and the resultant increase in demand pressures, played a dominant role in the remainder. In addition, a strike in the US copper industry, and a threatened strike in the steel industry, stimulated US imports, and Canadian exports, of those commodities.

In the second half of the year, the extraordinary US demand for copper and steel subsided and there was some deceleration of demand expansion south of the border. Exports, as a result, showed a 1.5 per cent decline in the third quarter, but turned up again in the fourth. For the full year exports were 19 per cent above a year earlier; exports to the United States were up over 25 per cent. Excluding automotive exports to the United States, the total was up 11 per cent, and exports to the United States about 13½ per cent, accounting for about three-quarters of the total gain. Exports to other countries increased by 7½ per cent, despite smaller wheat shipments. The largest factor in the gain in non-automotive exports was in copper and steel, which accounted for about one-third of the remaining increase.

Merchandise imports also rose sharply in 1968, notably in the first and fourth quarters. The total was about 13 per cent above 1967. About one-third of this was in the rapidly expanding automotive trade, stimulated by the automotive trade agreement, with the United States. Excluding automotive products, imports rose by about 11 per cent, with important increases in aircraft, petroleum, metals and machinery, the later increase reflecting the revival in domestic capital spending.

As noted earlier, the deficit on current non-merchandise transactions widened substantially in 1968, reaching US $1.4 billion, as compared with 1967's total of a little less than US $1 billion. The bulk of the swing came about through the widening of the balance on travel expenditures. Remaining items, on balance, changed little, with increases in net payments of interest and dividends largely offset by changes in freight and shipping, and in private and official transfers.

The Capital Account

In 1968 the capital account (excluding official monetary transactions) registered a US $495 million surplus, compared with a US $518 million

Table 7 **Balance of Payments—Current Account**
US $ million

	1963	1964	1965	1966	1967	1968	1967[1] 1st half	1967[1] 2nd half	1968[1] 1st half	1968[1] 2nd half
Merchandise exports	6 551	7 620	8 089	9 552	10 533	12 577	10 615	10 451	6 160	6 417
Merchandise imports	—6 086	—6 972	—7 980	—9 344	—10 088	—11 379	—10 151	—10 025	—5 520	—5 859
Trade balance	465	648	109	208	445	1 198	464	426	640	558
Gold production for export	142	134	128	117	104	104	111	96	53	51
Travel	22	—46	—45	—56	395	—7	302	488	32	—39
Interest and dividends	—583	—627	—707	—760	—829	—898	—784	—873	—453	—445
Freight and shipping	—79	—32	—86	—60	—36	—20	—44	—28	—10	—10
Inheritances and emigrants' funds	—31	—30	5	65	115	140	117	113	60	80
Official contributions	—60	—64	—86	—154	—167	—683	—244	—91	—332	—351
Other current transactions	—359	—376	—363	—435	—528		—512	—544		
Non-merchandise balance	—948	—1 041	—1 154	—1 283	—946	—1 364	—1 054	—839	—650	—714
Current balance	—483	—393	—1 045	—1 075	—501	—166	—590	—413	—10	—156

1 Half years and quarters at seasonally adjusted annual rates.

Source : Quarterly estimates of the Canadian Balance of International Payments (DBS).

Table 8 **Balance of Payments—Capital Account**
US $ million

		1963	1964	1965	1966	1967	1968	1967 1st half	1967 2nd half	1968 1st half	1968 2nd half
A	Current balance (seas. adj.)	—483	—393	—1 045	—1 075	—502	—167	—296	—206	—12	—155
	Current balance (not seas. adj.)	—483	—393	—1 045	—1 075	—502	—167	—568	66	—233	66
B	Long-term capital	589	758	799	981	1 238	1 429	492	746	772	657
	Direct investment	134	162	379	652	490	384	245	245	130	254
	Canadian stocks	—218	—124	—238	—126	11	104	—65	76	46	58
	Canadian bonds	633	768	822	797	838	1 384	358	480	756	628
	New issues	897	997	1 125	1 355	1 203	1 814	563	640	1 043	771
	Retirements	—300	—300	—354	—462	—313	—365	—175	—138	—228	—137
	Trade in outstanding bonds	36	71	51	—96	—52	—65	—30	—22	—59	—6
	Foreign securities	20	—48	—79	—371	—387	—429	—134	—253	—198	—231
	Other long-term capital	20	—	—85	29	286	—14	88	198	38	—52
C	Short-term capital	28	—31	391	—239	—720	—934	13	—733	—671	—263
D	Change in reserves, IMF position (B + C — A)	136	336	145	95	—15	—230	4	—19	—315	85
	Official holdings of gold and foreign exchange	56	80	—10	—427	31	559	—67	98	307	252
	Net position in IMF	80	256	155	522	—51	—789	66	—117	—622	—167

Source : Quarterly estimates of the Canadian Balance of International Payment (DBS).

surplus in 1967. Long-term capital inflows increased from US $1 238 million to US $1 429 million. This was more than accounted for by a substantial increase in the net inflow on portfolio security transactions, reflecting a large increase in new Canadian issues sold abroad. The balance on security transactions with the United States improved somewhat, but the increased new issues largely reflected borrowing from European sources.

In the post-World War II years, about 90 per cent of Canadian new issues sold abroad have been sold in the United States. But in 1968, although continued access to the US market was maintained, there developed a substantial movement of Canadian borrowers to the European capital market, despite Canada's exemption from US balance of payments measures. In doing this, borrowers have taken advantage of the rapid improvement in the efficiency of European capital markets, and a decline in the costs of borrowing there relative to the United States. In addition, there had been several quarters of exceptionally large placements of Canadian issues in the United States, producing a tendency towards saturation. Much of this borrowing has been by governments. As noted earlier, the Federal Government sold securities in Europe while replenishing its official foreign exchange reserves, and provincial government sales, either of direct or guaranteed new issues, have been quite substantial.

Direct investment in Canada was US $384 million in 1968, down US $106 million from a year earlier. There was a very small inflow during the first quarter crisis, but a sharp recovery in the following nine months. About three-fifths of this inflow came from the United States, with most going into manufacturing and mining. The balance on other long-term capital transactions, including smaller net repayments on wheat export credits, declined by about US $300 million, serving partly to offset gains in portfolio transactions.

Net short-term capital outflows (including the balancing item) in 1968 were US $914 million, compared with US $720 million in 1967. All but US $97 million of this occurred in the first and third quarters. The outflow in the first quarter, of course, reflected the foreign exchange crisis, with the heavy forward pressure on the Canadian dollar producing a discount large enough to offset the favourable movement in unhedged interest rade differentials. In the second quarter, forward pressure declined markedly, and despite some narrowing of unhedged yield differentials, due largely to increases in the US rate, short-term outflows receded very sharply. But after mid-year, with short-term rates dropping more sharply in Canada than in the United States, and then failing to immediately follow the rebound in US yields midway in the third quarter, hedged yield differentials again moved against Canada and short-term outflows increased to a level not far below the first quarter. The fourth quarter alone showed an inflow of

US $248 million, due mainly to a large swing in the item including loans and accounts receivable and payable, and measurement differences.

Export Performance

Table 9 indicates that Canadian export growth has been, on the whole, satisfactory in recent years if compared with that of some other major trading nations. A somewhat fuller appraisal of Canadian export performance, which takes into account various geographical areas and selected commodity groups, is presented in Appendix Tables 1*a*-1*f*. As data for 1968 are still incomplete, this rather crude analysis of export performance is limited to the period 1962-1967. Some of the main results are summarized below.

The share of Canada in OECD exports to world markets rose from 7.1 per cent in 1962 to 8 per cent in 1967 (Table 1*a*). Excluding intra-EEC and intra-EFTA trade which benefited from the trade creation effects of the respective treaties, the gain of market share by Canada becomes rather more important. Even if Canada's most rapidly growing exports (i.e. road motor vehicles to the US and the rather volatile food sales to the Sino-Soviet bloc) are left out of consideration Canada still maintained its market share between 1962-1967.

Table 9 **Merchandise Exports**
Annual percentage rise

	6-year average 1962-68	1963	1964	1965	1966	1967	1968
Canada	13.3	9.0	19.0	5.3	17.8	10.5	18.9
Japan	17.6	10.1	23.2	26.7	15.7	6.8	24.3
Italy	13.7	8.0	17.5	20.6	11.7	8.3	16.8
West Germany	11.0	10.2	10.9	10.3	12.5	8.0	14.3
France	9.5	9.8	11.3	11.8	8.3	4.5	11.7
United States	8.1	7.3	13.8	3.5	10.7	4.2	9.3
United Kingdom	6.3	7.7	4.3	11.0	6.7	—1.8	10.7

Source : OECD Secretariat.

As far as geographical areas are concerned, the biggest gain by Canada was achieved in Japan where its market share of OECD exports rose from 9.5 per cent in 1962 to 12.6 per cent in 1967. As between commodity groups, the most spectacular development is shown by road motor vehicle exports to the United States; largely as a consequence of the US—Canada trade

agreement on automobiles and parts Canada saw its market share increasing from only 2 per cent in 1962 to 52.4 per cent in 1967 (Table 1*d*). A much less important gain is shown by capital goods (Table 1*c*).

Canadian export performance was rather less good in food, inedible crude materials and basic manufactures—especially exports to the US market (Tables 1*b* and *f*). An interesting detail in this connection is the sharp fall in 1965 in the Canadian market share in OECD exports to the United States of inedible crude materials and basic manufactures; Canada does not seem subsequent to have regained this loss.

II ECONOMIC POLICY

Measures of stabilisation policy in 1968 were generally directed towards moderating the growth in demand, responding to the foreign exchange crisis in the early part of the year, and to changes in monetary conditions abroad. The task of moderating the expansion was made more difficult by the fact that the most buoyant source of demand was external.

Fiscal Policies

At the end of 1967, new federal fiscal measures were proposed which would reduce federal borrowing requirements and apply restraint to the economy. These measures included a proposed 5 per cent surcharge on personal income taxes, higher excise taxes, and an acceleration of corporate tax payments. In February, however, when Parliament withheld approval of the 5 per cent surtax, the Government proposed, and Parliament shortly adopted, a 3 per cent surtax on both individuals and corporations for the years 1968 and 1969, yielding $150 million in fiscal 1968-69[1], somewhat less than the defeated proposal. Simultaneously, the Government announced additional cuts in federal expenditures totalling about $75 million, and a freeze on the total number of employed by the Civil Service.

In a new budget in October, the Government announced further restrictive tax measures, mainly affecting fiscal year 1969-70. These measures were taken in the light of the persistent budget deficit, which is expected to be about $435 million in the fiscal year now ending (national accounts basis), somewhat higher than in the previous year (Table 10). The persist-

1 The fiscal year runs from 1st April to 31st March.

ence of the deficit can be primarily ascribed to a larger-than-expected increase in federal expenditure, which occurred despite attempts to hold down outlays. This was due to an underestimate of expenditures required under certain statutory obligations—particularly in federal-provincial programmes.

The October measures were:

(*a*) the introduction, as of 1st January of a "Social Development Tax" at the rate of 2 per cent of taxable income, with a maximum of $120 per annum and yielding $55 million in the fiscal year ending 31st March, 1969, and $440 million in the next fiscal year;

(*b*) Extension of the corporate income tax to life insurance companies and a 15 per cent tax on part of their investment income yielding $85 million in fiscal 1969-70, a change similar in effect to that recommended by the Royal Commission on taxation in 1967;

(*c*) Changes in the rules concerning the amounts which financial institutions are allowed to deduct when calculating taxable income, yielding $45 million in fiscal 1969-70;

(*d*) A further two month acceleration of corporate income tax payments, so that corporations in the next fiscal year would be more nearly on a pay-as-you-earn basis. The estimated yield from this source for 1969-70 is $275 million. This increase will be partly offset by continued repayments of the refundable tax on corporations enacted in the March 1966 budget;

(*e*) A substantial reform of estate and gift taxation, which would involve no significant revenue change from this source.

Total revenues are expected to climb by roughly $1.6 billion, of which about 54 per cent would result from discretionary measures, mainly those listed above.

On the expenditure side, it was announced that the Government would continue to restrict expenditure severely, maintaining a virtual freeze on the size of federal employment, and seeking the co-operation of the provincial governments in restraining jointly-financed expenditures. The introduction of "Medicare" (assuming all provinces take advantage of the Medicare Act) would add about $335 million to federal spending in the next fiscal year. Remaining expenditures would involve an increase of about 5 per cent on a national accounts basis, compared with an estimated 11 per cent increase in the current fiscal year. The net result (Table 10) would be a federal budget surplus (national accounts) of roughly $250 million, representing a $0.7 billion swing from the present fiscal year, or about 1 per cent of GNP.

Table 10 **The Federal Budget for Fiscal Years 1966-70**
National Accounts Basis
$ million

	1966/67	1967/68	1968/69 (Est.)	1969/70 (Forecast)
Revenue	10 068	10 885	12 125	13 750
Expenditures:				
Goods and services:				
defence	1 698	1 816	1 820	..
other	2 317	2 534	2 960	..
Transfers to persons	2 573	3 021	3 350	..
Transfers to other levels of govt.	1 712	2 142	2 490	..
Interest on public debt	1 156	1 267	1 440	..
Other expenditures	445	467	500	..
Total expenditures	9 901	11 247	12 560	13 500
Deficit (—) or surplus	167	—362	—435	250
Memorandum items:				
Deficit (—) or surplus budgetary basis	—422	—795	—675	5
Non-budgetary cash requirements[1]	341	607	600	600-700
Total cash requirements[1]	763	1 402	1 275	595-695

1 Excludes foreign exchange transactions.
Source : 1968-69 Budget presented to Parliament, 22nd October 1968, and Secretariat estimates.

Table 11 summarises Federal revenue and expenditure over the past several years. Despite the restraining efforts of the Government, Federal expenditures increased substantially in the first half of 1968, at a time when demand pressures were increasing. The budget deficit (national accounts basis) widened by $226 million (annual rate) over the previous half year, despite a rapid increase in revenues, which benefited from the strong expansion in national income. The increase in the Federal deficit, however, was more than accounted for by an unusually sharp increase in transfers to other levels of government. This increase in inter-governmental transfers helped to produce a substantial narrowing of the combined deficits of provincial and municipal governments, despite their still more rapid growth of expenditure (Table 12). At the same time, the government pension plan surpluses expanded, and the government sector as a whole showed a widened surplus in the first half of 1968.[1]

For 1968 as a whole the government sector (including pension plan revenues) will probably have registered a slightly larger surplus than in

1 Caution is necessary in drawing strong inferences from quarterly of even half-yearly figures in the government fiscal accounts. Budgetary accounting for year ending March 31st gives rise to large variations in the first calendar quarter (and first half) of each year. Further, the timing of entries in the public accounts (cash basis) is not necessarily equal to the timing of entries in private accounts, although various adjustments are carried out to make them more comparable.

Table 11 **Federal Revenue and Expenditure, National Accounts Basis**[1]

$ million

	1965	1966	1967	1966 I	1966 II	1967 I	1967 II	1968 I	1968 Q3
Revenue :									
Direct taxes: persons	2 716	2 955	3 572	2 770	3 140	3 454	3 690	4 110	4 284
corporations[2]	1 675	1 696	1 630	1 704	1 688	1 608	1 652	1 786	1 912
Indirect taxes	3 252	2 575	3 707	3 524	3 626	3 766	3 648	3 644	3 756
Other income	1 416	1 583	1 722	1 524	1 642	1 624	1 820	1 804	1 968
Total revenue	9 059	9 809	10 631	9 522	10 096	10 452	10 810	11 344	11 920
Expenditure :									
Goods and services	3 293	3 920	4 259	3 726	4 114	4 284	4 234	4 396	4 460
Defence	1 559	1 709	1 805	1 648	1 770	1 744	1 866	1 762	1 708
Other	1 734	2 211	2 454	2 078	2 344	2 540	2 368	2 634	2 752
Transfers to persons	2 312	2 478	2 936	2 424	2 532	2 902	2 970	3 256	3 328
Transfers to other levels of govt.	1 434	1 662	1 992	1 592	1 732	1 932	2 052	2 438	2 308
Other expenditure	1 395	1 585	1 700	1 472	1 698	1 594	1 806	1 732	1 972
Total expenditure	8 434	9 645	10 887	9 214	10 076	10 712	11 062	11 822	12 068
Deficit (—) or surplus	625	164	—256	308	20	—260	—252	—478	—148
Memorandum items :									
Canada Pension Plan Surplus[3]	—	536	661	462	610	648	674	726	768
Quebec Pension Plan Surplus[3]	—	183	225	156	210	220	230	240	248
Collections of refundable corporate tax less refunds	—	132	109	38	226	182	36	8	—104

1 Half years and quarters are at seasonally adjusted nanual rates.
2 Excludes refundable tax on corporate cash profits effective May 1966-April 1967 (see E memorandum item).
3 Funds accumulated are not included in revenue above.

Source : Dominion Bureau of Statistics.

1967. The combined deficits of the Federal and provincial and municipal governments were about unchanged between the two years, with the increase in surplus being due entirely to the increased savings of the government pension plans. As mentioned earlier, the Federal fiscal position should move into surplus, while it is expected that the provincial-municipal position will remain in deficit.

Monetary Policy and Financial Developments

Canadian monetary policy had already begun to tighten in the closing months of 1967, influenced by international exchange market developments, a move towards more monetary restraint in the United States, and domestic factors including the continuing pressures on costs and prices. The severe speculative attack on the Canadian dollar (described above) led to much stronger policy measures early in 1968. In January the discount rate was increased by a full point, and in March by a further half point to 7.5 per cent. The Bank of Canada tightened up cash reserves of the banking system; bank liquidity declined, and there was a marked slowing of the expansion of the banking system (Table 13). In the early summer, as the success of the defence of the Canadian dollar became evident, the view also developed that inflationary pressures were waning. At the same time, some reduction in demand pressures was widely forecast for the United States and Canada, so that lower interest rates were anticipated. Therefore the Bank of Canada gradually adopted a less restrictive posture, and the bank rate was reduced in three steps from 7.5 per cent to 6 per cent between July and September. Over the summer there was a sharp increase in bank liquidity as the total assets of the banking system expanded in the face of a weakening in loan demand. There was a stepped-up growth in major assets, and a sharp increase in currency and deposit liabilities. By September, however, it was recognized that the easing of demand anticipated in the early summer had not materialised. This had an adverse effect on expectations, and interest rates began to rise. Therefore, the Bank of Canada restricted the growth in chartered bank liquidity, and credit conditions tightened considerably over the final months of the year. The Bank Rate was raised by half a point in December, and by a further half point in February of 1969 to 7 per cent.

The movements of interest rates over this period are shown in Chart 1. The increase in short-term rates, beginning in the spring of 1967, accelerated sharply in the closing months of the year and continued at a rapid pace through the first quarter of 1968, with the Treasury Bill rate breaching the 7 per cent level. This increase, and the subsequent decline which began about mid-year, was similar in timing, but greater in amplitude than in the United States. After mid-summer, interest rates in Canada and the United

Table 12 **Provincial and Municipal Revenue and Expenditure, National Accounts Basis**[1]

$ million

	1965	1966	1967	1966		1967		1968	
				I	II	I	II	I	Q3
Revenue :									
Direct taxes: persons	1 197	1 529	1 921	1 462	1 596	1 802	2 040	2 258	2 472
corporations	550	556	578	554	558	566	590	618	656
Indirect taxes	4 312	4 891	5 520	4 798	4 984	5 450	5 590	6 136	6 224
Transfers from Federal Government	1 434	1 662	1 992	1 592	1 732	1 932	2 052	2 438	2 308
Other income	1 450	1 557	1 790	1 542	1 572	1 724	1 856	1 902	1 860
Total revenue	8 943	10 195	11 801	9 948	10 442	11 474	12 128	13 352	13 520
Expenditure :									
Goods and services	6 321	7 366	8 118	7 084	7 648	7 982	8 254	8 774	8 924
Transfers to persons	2 262	2 569	3 287	2 420	2 718	3 158	3 416	3 700	4 012
Other expenditure	660	795	869	792	798	824	914	960	1 020
Total expenditure	9 243	10 730	12 274	10 296	11 164	11 964	12 584	13 434	13 956
Deficit (—) or surplus	—300	—535	—473	—348	—722	—490	—456	—82	—436

1 Half years and quarters are at seasonally adjusted annual rates.

Source : Dominion Bureau of Statistics.

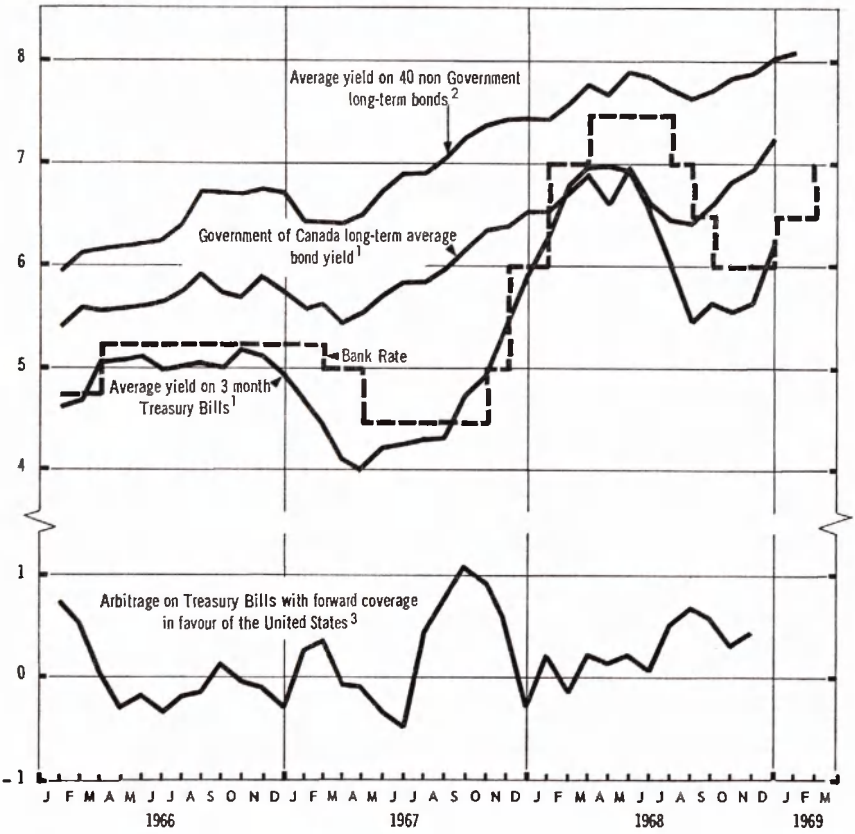
Table 13 **Selected Monetary Indicators**
(Seasonally adjusted)
$ million

	Dec. 1966	Sept. 1967	Annual Rate of Change (9 mos.)	May 1968	Annual Rate of Change (8 mos.)	Aug. 1968	Annual Rate of Change (3 mos.)	Dec. 1968	Annual Rate of Change (4 mos.)
A *Chartered Bank Assets*									
Total Major Assets	20 014	22 417	16.0%	23 592	8.0%	24 927	24.6%	26 150	15.5%
Total loans	11 867	12 910	11.7%	14 404	17.4%	14 257	4.0%	15 261	21.1%
of which :									
General Loans	10 492	11 470	12.4%	12 358	11.8%	12 341	0.6%	13 258	22.3%
of which :									
Business Loans	6 242	6 813	12.1%	7 272	10.1%	7 217	3.0%	7 651	18.0%
Unsecured Personal	2 469	2 841	20.1%	3 206	19.3%	3 287	10.5%	3 680	35.9%
More Liquid Asset Ratio	30.4	32.5	—	29.1	—	32.7	—	31.7	—
B *Currency and Chartered Bank Liabilities*									
Currency and chartered bank demand deposits	7 488	8 114	11.1%	7 958	—2.9%	8 562	34.0%	8 632	2.5%
Privately-held currency and chartered bank deposits	20 355	22 960	17.1%	24 547	10.4%	25 936	24.6%	26 796	10.3%
Total currency and chartered bank deposits	21 167	23 755	16.3%	24 987	7.8%	26 315	23.0%	27 464	13.7%

Source : Bank of Canada.

States climbed sharply again, particularly in the period from late November to early January of 1969. Long-term rates rose appreciably during 1968; the average yield on long-term government bonds rose from about $6^1/_2$ per cent to about $7\,^1/_4$ per cent, while yields on other long-term issues also rose to record levels. The rate on first class conventional mortgages was 9 per cent or higher. Borrowers other than the Government of Canada borrowed much less in Canadian capital markets in 1968 than in 1967, while the amount raised outside Canada rose considerably, including for the first time, as mentioned earlier, substantial borrowing in European markets.

Diagram 1 **Interest Rates**



1 Last wednesday in month.
2 End of month. Includes provincial, municipal, public utilities and industrial bonds as drawn up by McLeod, Young and Weir.
3 Monthly averages.

Source: Bank of Canada Statistical Summary, Canadian Submission to OECD and Federal Reserve Bulletin (U.S.).

One interesting aspect of the 1968 experience with severely tightened monetary conditions has been the resilience shown by the flow of funds into mortgages. The monetary stringency of 1966 had reduced mortgage loan approvals by institutional lenders (which lead disbursements by several months) from a $3 billion rate in 1965, to little over a $2 billion rate in 1966, with a recovery in 1967 to $2.8 billion. In the first half of 1968, mortgage loan approvals were running at a $2.9 billion, only slightly below the same period a year earlier. This reflected both economic and institutional factors. Competing long-term credit demands from business were not so strong, owing to the lower share of business fixed investment in GNP. Institutional restrictions on deposit rates payable by financial institutions have eased, and there is now more private sector reliance on the mortgage interest rate, and less on rationing devices, to match supply and demand. In September 1967, the Government improved the competitive position of NHA mortgages by changing the formula relating it to the rate on long-term government bonds, and after the 1967 changes in the Bank Act, banks have supplied substantial additional funds to the mortgage market. There also has been a significant increase in private funds supplied outside usual institutional and public channels.

III PROSPECTS AND POLICY CONCLUSIONS

Prospects

The present assessment is based on the assumption that the expansion of the real gross national product in the United States will slow down to about 3¼ per cent in 1969. It is assumed that there will be no major changes in fiscal or monetary policy in Canada, and that "Medicare" will be fully introduced with all the provinces joining the programme.

On these assumptions, real GNP may rise in 1969 at about the same rate as in the past year. This would be roughly equal to the capacity growth rate. Unless labour force growth slows down extremely sharply in 1969, this rate of expansion probably would not bring the unemployment rate much below the level existing at the end of 1968.

Private consumption could be fairly buoyant in 1969. The rise in personal disposable income may remain strong even if compensation of employees should slow down somewhat, in line with recent trends in collective bargaining. The expected larger Medicare payments will probably go a long way towards offsetting the effects of higher taxes on personal incomes. The personal saving ratio may decline; even though it fell in 1968 it is still

high by historical standards. With the strong upturn in housing starts in the last quarter of 1968, residential construction should increase quite appreciably in the early part of 1969. Although monetary conditions are assumed to remain tight, housing starts in 1969 will probably remain at the high level of last year, and investment in housing should continue to grow given the backlog of starts existing at the end of 1968. With little easing of demand pressures, business fixed investment will probably show a moderate increase in 1969. A preliminary investment survey taken by the Department of Trade and Commerce in October (covering enterprises accounting for about a half of non-agricultural business fixed investment) indicated an 8 per cent rise in expenditure on business fixed investment between 1968 and 1969.

Exports of merchandise will not provide as much stimulus this year, given the likely trend of demand in the United States, the absence of special factors such as the copper strike and steel inventory build-up which gave a boost to Canadian exports last year, and a more moderate increase in sales of automotive products to the United States. The underlying growth of imports will be augmented by a stronger Canadian demand for capital equipment, but a probable slowing in imports under the automotive trade agreement should be at least partly offsetting. On balance, the surplus on trade account is expected to show some decline from the high level reached in 1968; with some further rise in non-merchandise deficit, largely as a result of higher interest and dividend payments, the current account deficit is likely to widen. With the exemption of Canada from the United States balance of payments measures and the openings for Canadian borrowers in European capital markets, the financing of the current deficit should not present a serious problem.

Policy Conclusions

1968 was a difficult year for Canadian policy makers. Significant measures were required to deal with the exchange crisis at the beginning of the year. The steep and sudden rise in exports in the early months of the year, although beneficial to the balance of payments, entailed a strengthening of demand pressures which ran counter to the authorities objective of restoring better price/cost stability. Moreover, an unexpectedly sharp increase in Federal expenditure, largely concerning joint Federal-provincial programmes, more than offset the impact on demand of the restrictive fiscal measures taken early in the year. The net effect on demand of the change in the Federal budget was, therefore, probably somewhat expansionary.

In the past year progress towards slowing down the advance of prices was disappointingly small. The rise in the GNP deflator—the broadest

indicator of price movements—became somewhat more moderate, but nevertheless remained uncomfortably high, and the upward trend in the consumer prices accelerated, only partly because of a stronger rise in food prices. The pressure of demand as indicated by the unemployment rate would seem not to have been excessive; in most months the seasonally adjusted unemployment rate was above 4.5 per cent. However, fluctuations in the rate of growth of the labour force, and substantial regional disparities, make the unemployment rate an unreliable indicator of the pressure of demand. Regional and sectoral demand pressures may well have worsened in 1968. The continued rapid increase in labour costs and other incomes was clearly a major factor behind the price rise. While the rise in wage rates could partly be ascribed to large longer-term settlements made in previous years, it was a matter of considerable concern that rates negotiated in new settlements remained high, with little tendency to decline.

The restoration of a better price/cost performance remains an important objective of government policy. While cost and price behavior will inevitably be affected by developments within the wider North American context, there are some reasons, noted earlier, for believing that the size of new wage settlements may come down in 1969. But given the degree of uncertainty, demand management policy will have to remain cautious. This does not necessarily mean that the pressure of demand should be further reduced. Given the social costs involved in higher unemployment, this may not be desirable. But it may be prudent to avoid a strengthening of the pressure on resources, since the improvement of the cost/price trend is a matter of some urgency.

Achieving a stronger growth in productivity is also an important factor in improving cost/price performance. In this connection the Government has used several policy approaches. There have been large outlays on extensive manpower training programmes. A new Department of Regional and Economic Expansion has been established to improve the utilization of resources in specific areas. Productivity has also benefited from the effects of the tariff reductions under the Kennedy Round and the US-Canadian automotive trade agreement.

On the basis of the prospects discussed above—pointing to a rise of GNP about in line with the underlying trend of capacity growth—the maintenance of a roughly unchanged pressure of demand should not require any major changes in Federal budget policy. The demand impact of the recent fiscal measures will probably be much smaller than their fiscal impact, or their effect on capital markets,[1] so that the change in Federal budget policy

1 Assuming that the acceleration of corporate tax payments and the tax measures affecting financial institutions have little effect on demand.

in economic terms should not be excessive. Interest rates have risen sharply in recent months, roughly in line with the upward movement in the United States. From the point of view of maintaining a satisfactory rise of aggregate demand, flexibility of monetary and fiscal policies may be necessary. The extent to which monetary policy can be altered will also be influenced by policy changes in other countries, particularly the United States.

Prospects for demand in 1969 are rather more uncertain than usual, partly because of the unexpected strength in the US economy in late 1968, and the difficulty involved in assessing the implications of this for the outlook. Great flexibility will be required to keep aggregate demand on the desired growth trend.

The Price and Incomes Commission represents an interesting new feature in Canadian policy making. It was argued in last year's OECD Economic Survey of Canada that the experiences of a number of countries suggested that the maintenance of an appropriate level of demand, although essential, might not be sufficient to ensure a satisfactory price/cost performance. It was stated that the trend of prices and costs in Canada in full employment conditions pointed to the need for some sort of an incomes policy. The Commission could be an important step in this direction. It cannot be expected to have a large or immediate impact on the movement of costs and prices. But it could help to draw the general public's attention to developments in this field, and to create better understanding of the need for maintaining reasonably stable prices. As experience is gained in this difficult field of economic policy, consideration can be given to the further development of techniques and institutional machinery.

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STATISTICAL ANNEX

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Table A **Gross National Product and Expenditure**
Annual figures and annual rates, seasonally adjusted
$ million

		Personal consumption expenditure	Business fixed capital formation: Total	Business fixed capital formation: Residential construction	Business fixed capital formation: Non-Residential construction	Business fixed capital formation: Machinery and equipment	Value of physical change in inventories	Government expenditure on goods and services	Exports of goods and services	Imports of goods and services	Residual error	Gross National Product at market prices
							Current Prices					
1960		23,540	6,692	1,443	2,577	2,672	410	6,769	7,008	8,172	40	36,287
1961		24,466	6,635	1,458	2,683	2,494	30	7,236	7,631	8,542	15	37,471
1962		25,926	6,960	1,577	2,638	2,745	532	7,717	8,259	9,082	263	40,575
1963		27,487	7,591	1,707	2,835	3,049	535	8,075	9,111	9,618	243	43,424
1964		29,666	9,103	2,021	3,358	3,724	386	8,654	10,578	10,970	—24	47,393
1965		32,061	10,651	2,124	4,024	4,503	948	9,614	11,265	12,400	64	52,203
1966		34,848	12,433	2,171	4,850	5,472	940	11,286	13,073	14,280	—240	58,120
1967		37,714	12,365	2,337	4,670	5,358	225	12,377	14,608	15,157	—64	62,068
1967:	1st quarter	36,444	12,972	1,920	5,128	5,924	152	11,860	14,468	15,088	28	60,836
	2nd quarter	37,388	12,724	2,348	4,724	5,652	148	12,672	15,004	15,692	—172	62,072
	3rd quarter	38,192	11,916	2,532	4,236	5,148	680	12,288	14,252	14,988	32	62,372
	4th quarter	38,832	11,848	2,548	4,592	4,708	—80	12,688	14,708	14,860	—144	62,992
1968:	1st quarter	39,880	12,480	2,536	4,600	5,344	156	13,052	16,172	16,496	—156	65,088
	2nd quarter	40,164	12,572	2,844	4,704	5,024	144	13,288	16,776	16,544	—112	66,288
	3rd quarter	41,452	13,008	2,828	4,768	5,412	360	13,384	16,572	17,052	—96	67,628
							1957 Prices					
1960		22,402	6,231	1,323	2,404	2,504	397	6,268	6,884	8,020	38	34,200
1961		23,105	6,125	1,328	2,494	2,303	29	6,562	7,379	8,132	13	35,081
1962		24,173	6,254	1,395	2,399	2,460	508	6,811	7,747	8,306	242	37,429
1963		25,260	6,618	1,461	2,494	2,663	510	6,848	8,445	8,550	221	39,352
1964		26,846	7,606	1,641	2,830	3,135	354	7,113	9,610	9,632	—21	41,876
1965		28,462	8,534	1,644	3,196	3,694	938	7,571	10,098	10,838	—21	44,744
1966		29,902	9,633	1,585	3,656	4,392	891	8,335	11,345	12,240	—196	47,670
1967		31,327	9,318	1,591	3,350	4,377	174	8,606	12,467	12,834	—51	49,007
1967:	1st quarter	30,788	9,748	1,348	3,732	4,668	116	8,312	12,396	12,832	24	48,552
	2nd quarter	31,224	9,636	1,608	3,400	4,628	100	8,932	12,796	13,296	—140	49,252
	3rd quarter	31,508	9,036	1,720	3,024	4,292	556	8,460	12,148	12,720	24	49,012
	4th quarter	31,788	8,852	1,688	3,244	3,920	—76	8,720	12,528	12,488	—112	49,212
1968:	1st quarter	32,336	9,280	1,660	3,220	4,400	152	8,776	13,636	13,668	—120	50,392
	2nd quarter	32,280	9,212	1,832	3,236	4,144	32	8,920	14,096	13,660	—84	50,796
	3rd quarter	33,096	9,480	1,796	3,264	4,420	180	8,804	13,948	14,056	—72	51,380

Source : National Accounts, Income and Expenditure (DBS).

Table B **Industrial Production,**
Seasonally

	1961	1962	1963	1964
1 *Indices of industrial production (1963 = 100) :*				
All industries	85.8	94.0	100.0	110.0
Mining	90.4	94.8	100.0	112.9
Manufacturing	84.8	93.6	100.0	109.5
Durables	80.2	92.1	100.0	111.8
Non-durables	88.9	95.2	100.0	107.5
2 *New residential construction (thousands, annual rates) :*				
Starts	125.6	130.1	148.6	165.7
Completions	115.6	126.7	128.2	151.0
Under construction	73.6	76.2	96.6	107.7
3 *Employment and Unemployment :*				
Civilian labour force (thousands, monthly averages)	6,521	6,615	6,748	6,933
Non-agricultural employment (thousands, monthly averages)	5,374	5,565	5,726	5,979
Employment indices (1961 = 100):				
Mining	100.0	99.4	97.9	98.8
Manufacturing	100.0	103.8	106.1	111.1
Durables	100.0	105.9	109.5	116.7
Non-durables	100.0	102.1	103.4	106.6
Public utilities	100.0	99.6	100.1	101.5
Unemployment (thousands)	466	390	374	324
Unemployment (percentage of civilian labour force)	7.1	5.9	5.5	4.7
Average weekly hours worked in manufacturing	40.6	40.7	40.8	41.0
4 *Retails sales ($millions, monthly averages) :*	1,339	1,425	1,510	1,613
5 *Orders and inventories in manufacturing* ($ million):				
New orders (monthly averages)	1,972	2,158	2,344	2,601
Unfilled orders (monthly averages)	2,031	2,111	2,252	2,625
Total inventories (end of period)	4,463	4,676	4,926	5,345

Source : OECD Main Economic Indicators, Canadian Statistical Review and Bank of Canada Statistical Summary.

Employment and other Business Indicators
adjusted

1965	1966	1967	1967 Q1	1967 Q2	1967 Q3	1967 Q4	1968 Q1	1968 Q2	1968 Q3
119.4	127.8	130.2	128.8	129.9	130.5	132.3	132.4	136.0	137.4
119.0	123.4	131.3	127.6	130.9	132.1	136.3	135.9	139.0	139.6
119.5	128.1	128.6	127.6	128.3	128.7	130.0	129.7	133.9	134.8
125.3	136.3	135.4	134.7	134.7	136.0	137.3	133.5	140.3	144.6
114.1	120.8	122.3	121.3	122.4	122.2	123.5	126.3	128.1	125.8
166.6	134.5	164.1	139.6	173.5	167.9	161.0	204.0	191.2	172.3
153.0	162.2	149.2	126.4	142.0	156.3	169.6	155.3	170.3	73.9
119.9	88.6	102.7	84.3	97.1	102.6	93.3	105.3	116.8	113.7
7,141	7,420	7,694	7,410	7,687	7,985	7,695	7,587	7,914	8,193
6,268	6,609	6,820	6,568	6,797	7,061	6,855	6,657	6,945	7,273
105.1	106.9	109.1	108.6	108.7	109.4	109.7	110.3	110.5	109.7
117.2	123.5	123.2	124.5	122.7	123.1	122.6	121.3	121.5	121.9
126.0	134.9	134.1	115.2	114.4	113.8	114.0	114.6	114.3	113.6
110.1	114.3	114.3	136.0	132.9	134.7	132.9	129.6	130.4	132.1
103.9	106.7	110.8	110.3	112.0	110.7	110.5	111.7	109.1	107.3
280	267	315	392	320	250	299	478	399	317
3.9	3.6	4.1	5.3	4.2	3.1	3.9	6.3	5.0	3.9
41.0	40.8	40.3	40.0	40.3	40.3	40.4	40.1	40.4	40.3
1,746	1,868	1,982	1,928	1,980	2,013	2,018	2,026	2,070	2,158
2,867	3,127	3,211	3,133	3,165	3,288	3,308	3,192	3,295	3,466
3,156	3,693	3,693	3,762	3,710	3,738	3,756	3,712	3,645	3,629
6,005	6,577	6,725	6,604	6,682	6,720	6,697	6,723	6,667	6,800

Table C **Prices,**

	1961	1962	1963	1964
1 *Prices (1963 = 100) :*				
Consumer prices, all items	97.1	98.3	100.0	101.8
of which : Food	95.8	97.4	100.0	101.6
Non-food	97.8	98.7	100.0	101.9
Wholesale prices, all items	95.4	93.1	100.0	100.3
of which : Raw materials and semi-manufactures	93.6	98.6	100.0	99.5
Manufactured goods	96.2	98.0	100.0	100.9
Farm products	97.7	101.9	100.0	98.5
2 *Wages and profits (seasonally adjusted) :*				
Hourly earnings in manufacturing (1963 = 100)	94	96	100	104
Corporate profits before tax ($ million, annual rates)	3 427	3 819	4 188	4 819
3 *Banking ($ million, end of period) :*				
Chartered Banks:				
Canadian dollar deposits	14 186	14 699	16 099	16 697
of which : personal savings deposits	7 618	7 932	8 443	8 935
Liquid assets[1]	2 345	2 362	2 586	2 682
Liquid asset ratio (per cent)[1]	18.31	17.10	17.96	17.20
Holdings of Govt. of Canada direct and guaranteed securities	2 631	2 234	2 642	2 439
Total loans[1]	6 878	7 702	8 332	9 410
Currency outside banks	1 892	1 981	2 055	2 183
4 *Interest rates (per cent, end of period) :*				
3-month Treasury bill yield	2.99	3.91	3.78	3.82
Govt. of Canada 3¾ per cent 1996-98 bond yield	4.95	5.07	5.02	5.00
5 *Miscellaneous :*				
National Housing Act Mortgage Loans ($ million)	724	607	711	769
Industrial share prices (1963 = 100)	97	93	100	122
Security issues, net ($ million)	2 792	2 735	2 931	3 303
of which : Govt. provincial and municipal	2 151	1 739	2 123	1 857
Corporation Bonds	354	446	699	807
Corporation Stocks	245	271	—96	283

1 Annual figures are daily averages for year, quarterly figures are daily averages of last month in each quarter.

Source : OECD Main Economic Indicators, Canadian Statistical Review and Bank of Canada Statistical Summary.

1965	1966	1967	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
104.3	108.2	112.0	109.9	111.5	113.2	113.6	114.9	116.0	117.3	
104.2	109.9	111.6	110.0	110.2	113.5	113.0	115.1	115.6	117.7	
104.4	107.3	112.2	109.9	112.1	113.1	113.9	114.8	116.3	117.1	
102.4	106.1	108.0	107.3	107.7	108.2	108.7	109.3	109.9	110.4	
101.9	107.0	108.5	108.2	108.3	108.3	109.0	109.7	109.9	109.7	
102.8	105.8	107.9	106.9	107.5	108.3	108.7	109.2	110.0	110.9	
105.7	112.4	110.9	111.6	112.5	110.8	108.6	106.2	107.8	111.5	
109	115	123	120	122	125	127	127	131	134	
5 199	5 145	5 020	4 064	5 416	5 080	5 520	4 516	6 296	5 856	
18 594	20 016	22 663	20 309	20 974	21 818	22 663	22 785	23 713	25 063	
9 725	10 248	11 760	10 701	11 128	11 610	11 760	12 295	12 989	13 541	
2 903	3 205	3 604	3 603	3 619	3 706	3 618	3 539	3 681	4 202	4 003
16.89	17.22	17.44	18.23	17.66	17.48	16.28	15.99	16.01	17.34	15.97
2 355	2 324	2 888	2 564	2 667	2 867	2 888	2 867	2 899	3 279	
11 278	12 427	14 168	12 745	12 973	13 592	14 168	14 791	15 090	15 162	
2 351	2 491	2 736	2 455	2 569	2 666	2 736	2 629	2 753	2 829	
4.54	4.96	5.95	4.13	4.28	4.76	5.95	6.98	6.56	5.66	
5.24	5.60	6.38	5.43	5.73	6.07	6.38	6.54	6.66	6.51	7.22
811	765	1 040	237	422	215	160	264	286	319	
135	129	136	130	135	140	138	130	135	142	
2 529	4 262	4 967	1 418	1 113	942	1 494	714	1 232	1 442	
940	2 443	3 476	864	775	730	1 109	317	677	1 092	
1 359	1 068	898	206	353	144	196	53	390	214	
319	409	321	52	60	96	113	28	53	108	

Table D **Balance of Payments 1960-67**
OECD Basis
US $ million

	1960	1961	1962	1963	1964	1965	1966	1967	1968 First three quarters seas. adj. annual rates
Current Account :									
Exports	5 980	6 241	6 385	6 983	8 093	8 600	10 099	11 089	12 950
Imports	5 874	5 804	5 960	6 228	7 115	8 156	9 508	10 251	11 205
Trade balance	106	437	425	755	978	444	591	838	1 745
Services, net	—1 159	—1 162	—1 058	—1 084	—1 200[1]	—1 332[1]	—1 512	—1 200	—1 729
Balance on goods and service	—1 053	—725	—633	—329	—222	—888	—921	—362	16
Private transfers, net	—155	—136	—109	—93	—88	—56	—	27	75
Official transfers, net	—63	—55	—34	—60	—64	—86	—154	—167	—129
Current account balance	—1 271	—916	—776	—482	—374	—1 030	—1 075	—502	—38
Capital Account :									
Current account (not seasonally adjusted)									
Long-term capital	958	918	644	589	776[1]	818[1]	981	1 239	
Direct investment	639	474	374	134	162	379	652	490	
Basic balance	—313	2	—132	107	402	—212	—94	737	
Short-term non-monetary capital and unrecorded	264	117	40	135	219	—29	222	—411	
Balance on non-monetary transactions	—49	119	—92	242	621	—241	128	326	
Private monetary institutions short-term capital	7	184	133	—114	—249	413	—431	—317	
Assets	—312	—609	69	—465	—681	610	—208	—587	
Liabilities	319	793	64	351	432	—197	—223	270	
Balance on official settlements	—42	303	41	128	372	172	—303	9	
Net IMF position	—	—60	350	—80	—197	—156	—96	16	
Special transactions	—	—	84	—	—35[2]	—35[2]	—	—	
Miscellaneous official accounts	1	—2	6	5	—60	10	—31	6	
Change in reserves (+ = increase)	—41	241	481	53	79	—8	—430	29	
Gold	—75	61	—238	109	209	125	—105	—31	
Foreign exchange	34	180	719	—56	—130	—133	—325	60	

1 Data are adjusted to include debt obligations payable by the United Kingdom, but waived.
2 See footnote 1.

Source : The Canadian Balance of International Payments, Canadian submission to OECD and Secretariat adjustments.

NOTE: Detail may not add due to rounding.

Table 1a **Exports of Total Merchandise**
Percentages

	1962	1963	1964	1965	1966	1967
Share of Canada in OECD exports to world markets (excl. OECD exports to Canada)	7.1	7.1	7.5	7.2	7.7	8.0
Share of Canada in OECD exports to world markets excl. Canadian exports of road motor vehicles to US and food exports to Sino-Soviet bloc	6.9	6.8	6.9	6.7	6.9	6.9
Share of Canada in OECD exports to world markets excl. intra-EEC and intra-EFTA trade	9.0	9.2	9.7	9.4	10.0	10.6
Share of Canada in OECD exports to world markets excl. intra-EEC, intra-EFTA trade and Canadian exports of road motor vehicles to US	9.0	9.1	9.6	9.2	9.4	9.3
Share of Canada in OECD exports to world markets excl. intra-EEC, intra-EFTA trade, Canadian exports of road motor vehicles to US and food exports to Sino-Soviet bloc	8.7	8.8	9.0	8.8	8.9	9.1
Share of Canada in OECD exports to OECD countries (excl. OECD exports to Canada)	9.8	9.3	9.3	9.1	9.6	10.4
Share of Canada in OECD exports to OECD countries excl. intra-EEC and intra-EFTA trade	14.5	14.2	14.4	14.1	14.9	16.2
Share of Canada in OECD exports to United States	38.2	37.8	37.8	35.3	35.9	38.7
Share of Canada in OECD exports to US excl. road motor vehicles	38.2	37.6	37.4	34.4	33.1	33.6
Share of OECD-Europe in OECD exports to United States	46.4	46.6	45.1	45.7	45.4	43.9
Share of Japan in OECD exports to United States	15.3	15.6	17.1	19.0	18.7	17.4
Share of Canada in OECD exports to Japan	9.5	10.7	10.6	9.9	10.7	12.6
Share of Canada in OECD exports to EEC	1.8	1.7	1.7	1.7	1.6	1.6
Share of Canada in OECD exports to EEC excl. intra-EEC trade	4.3	4.1	4.2	4.4	4.2	4.4
Share of Canada in OECD exports to EFTA	6.4	6.5	6.6	6.1	5.7	5.4
Share of Canada in OECD exports to EFTA excl. intra-EFTA trade	8.7	8.9	9.1	8.5	8.0	7.6
Share of Canada in OECD exports to non-OECD countries	2.8	3.4	4.3	3.4	3.8	3.1
Share of Canada in OECD exports to non-OECD countries excl. exports to Sino-Soviet bloc	2.1	2.4	2.6	2.4	2.5	2.5

Source : OECD Secretariat.

Table 1b **Exports of food, beverages, tobacco, feeding stuffs, oils, seeds, etc.**
Percentages

	1962	1963	1964	1965	1966	1967
Share of Canada in OECD exports to world markets (excl. OECD exports to Canada)	10.0	10.5	11.5	10.3	10.9	9.2
Share of Canada in OECD exports to world markets excl. intra-EEC and intra-EFTA trade	12.3	12.9	14.3	13.1	13.9	12.0
Share of Canada in OECD exports to OECD countries (excl. OECD exports to Canada)	10.7	10.3	9.7	9.6	9.2	8.9
Share of Canada in OECD exports to OECD countries excl. intra-EEC and intra-EFTA trade	14.6	14.2	13.6	13.7	13.2	13.2
Share of Canada in OECD exports to US	33.0	32.3	32.7	36.0	32.3	29.6
Share of OECD Europe in OECD exports to US	56.4	58.6	57.6	56.0	58.2	62.9
Share of Japan in OECD exports to US	10.7	9.0	9.7	8.1	9.5	7.5
Share of Canada in OECD exports to Japan	22.5	19.4	17.7	14.4	15.6	17.6
Share of Canada in OECD exports to EEC	4.4	3.9	3.5	3.5	3.4	3.1
Share of Canada in OECD exports to EEC excl. intra-EEC trade	7.6	7.1	6.3	6.7	6.5	6.6
Share of Canada in OECD exports to EFTA	10.5	10.8	10.4	10.0	9.0	8.8
Share of Canada in OECD exports to EFTA excl. intra-EFTA trade	13.4	14.0	13.5	13.2	12.1	11.8
Share of Canada in OECD exports to non-OECD countries	8.4	10.9	15.4	12.1	15.0	10.1
Share of Canada in OECD exports to non-OECD countries excl. Sino-Soviet bloc	4.0	4.8	4.7	4.8	5.7	5.6

Source : OECD Secretariat.

Table 1c **Exports of capital goods (machinery, equipment and instruments for investment)**[1]

Percentages

	1962	1963	1964	1965	1966	1967
Share of Canada in OECD exports to world markets (excl. OECD exports to Canada)	2.4	2.7	3.0	3.0	3.5	3.8
Share of Canada in OECD exports to world markets excl. intra-EEC and intra-EFTA trade	2.9	3.4	3.7	3.7	4.4	4.6
Share of Canada in OECD exports to OECD countries (excl. OECD exports to Canada)	3.6	3.8	4.1	4.3	5.2	5.6
Share of Canada in OECD exports to OECD countries excl. intra-EEC and intra-EFTA trade	5.4	5.8	6.3	6.5	7.8	8.2
Share of Canada in OECD exports to US	28.6	30.6	31.7	30.6	31.1	31.7
Share of OECD-Europe in OECD exports to US	58.4	57.0	53.7	53.2	52.2	53.0
Share of Japan in OECD exports to US	13.0	12.5	14.5	16.2	16.7	15.3
Share of Canada in OECD exports to Japan	1.1	1.2	1.4	0.9	1.4	1.6
Share of Canada in OECD exports to EEC	0.9	1.1	1.0	0.8	0.6	0.5
Share of Canada in OECD exports to EEC excl. intra-EEC trade	2.0	2.4	2.3	1.8	1.5	0.9
Share of Canada in OECD exports to EFTA	1.0	0.9	1.0	0.9	1.1	1.0
Share of Canada in OECD exports to EFTA excl. intra-EFTA trade	1.4	1.3	1.4	1.3	1.5	1.4
Share of Canada in OECD exports to non-OECD countries	1.1	1.5	1.7	1.2	1.2	1.3

1 Excludes road motor vehicles, aircraft, ships and boats and household machinery.

Source : OECD Secretariat.

Table 1d **Exports of road motor vehicles**
Percentages

	1962	1963	1964	1965	1966	1967
Share of Canada in OECD exports to world markets (excl. OECD exports to Canada)	0.9	1.2	2.1	3.9	8.9	15.1
Share of Canada in OECD exports to world markets excl. intra-EEC and intra-EFTA trade	1.2	1.6	2.8	5.2	11.8	19.8
Share of Canada in OECD exports to OECD countries (excl. OECD exports to Canada)	0.5	0.9	2.1	4.4	11.7	20.7
Share of Canada in OECD exports to OECD countries excl. intra-EEC and intra-EFTA trade	0.8	1.5	3.6	7.5	19.1	32.2
Share of Canada in OECD exports to US	2.0	3.9	8.3	16.1	35.1	52.4
Share of OECD-Europe in OECD exports to US	94.7	90.9	84.2	71.8	55.4	41.4
Share of Japan in OECD exports to US	3.3	5.2	7.6	12.1	9.5	6.2
Share of Canada in OECD exports to Japan	0.5	0.4	[1]	0.3	1.1	0.4
Share of Canada in OECD exports to EEC	[1]	[1]	0.2	0.4	0.3	0.2
Share of Canada in OECD exports to EEC excl. intra-EEC trade	0.4	0.3	1.2	2.0	1.7	1.0
Share of Canada in OECD exports to EFTA	0.2	0.3	0.6	0.9	0.5	0.5
Share of Canada in OECD exports to EFTA excl. intra-EFTA trade	0.3	0.4	0.8	1.2	0.7	0.7
Share of Canada in OECD exports to non-OECD countries	1.6	1.8	2.2	3.2	3.9	3.8

1 Less than 0.1 per cent.

Source : OECD Secretariat.

Table 1e **Exports of other manufactures**[1]
Percentages

	1962	1963	1964	1965	1966	1967
Share of Canada in OECD exports to world markets (excl. OECD exports to Canada)	2.0	2.0	2.0	2.1	2.2	2.2
Share of Canada in OECD exports to world markets excl. intra-EEC and intra-EFTA trade	2.5	2.5	2.6	2.7	2.9	2.9
Share of Canada in OECD exports to OECD countries (excl. OECD exports to Canada)	2.7	2.6	2.5	2.6	2.8	2.8
Share of Canada in OECD exports to OECD countries excl. intra-EEC and intra-EFTA trade	3.9	4.0	3.9	4.1	4.4	4.5
Share of Canada in OECD exports to US	10.5	10.7	10.2	10.8	11.0	11.1
Share of OECD-Europe in OECD exports to US	57.0	57.7	56.8	55.7	53.6	52.5
Share of Japan in OECD exports to US	32.5	31.6	33.0	33.5	35.5	36.4
Share of Canada in OECD exports to Japan	0.7	1.8	2.1	2.4	2.5	2.2
Share of Canada in OECD exports to EEC	0.3	0.4	0.4	0.4	0.4	0.4
Share of Canada in OECD exports to EEC excl. intra-EEC trade	0.8	1.0	1.1	1.0	1.3	1.3
Share of Canada in OECD exports to EFTA	1.3	1.5	1.7	1.5	1.4	1.4
Share of Canada in OECD exports to EFTA excl. intra-EFTA trade	1.7	1.9	2.2	2.0	2.0	2.0
Share of Canada in OECD exports to non-OECD countries	0.9	1.0	1.2	1.0	0.9	0.9

1 Includes household machinery, chemicals and other manufactures. Excluded are aircraft, ships and boats and basic manufactures.
Source : OECD Secretariat.

Table 1f **Exports of inedible crude materials and basic manufactures**[1]

Percentages

	1962	1963	1964	1965	1966	1967
Share of Canada in OECD exports to world markets (excl. OECD exports to Canada)	12.8	12.7	12.6	12.3	12.4	12.8
Share of Canada in OECD exports to world markets excl. intra-EEC and intra-EFTA trade	17.1	17.2	17.3	16.9	17.2	17.7
Share of Canada in OECD exports to OECD countries (excl. OECD exports to Canada)	16.6	15.8	15.7	15.3	15.3	15.9
Share of Canada in OECD exports to OECD countries excl. intra-EEC and intra-EFTA trade	25.4	24.6	24.8	24.1	24.4	25.3
Share of Canada in OECD exports to US	56.0	55.5	55.0	49.0	49.3	50.0
Share of OECD-Europe in OECD exports to US	31.0	30.4	29.2	32.5	32.7	33.2
Share of Japan in OECD exports to US	13.0	14.1	16.0	18.5	18.0	16.8
Share of Canada in OECD exports to Japan	11.6	14.5	15.3	15.7	16.1	19.7
Share of Canada in OECD exports to EEC	2.0	1.7	2.1	2.3	2.2	2.5
Share of Canada in OECD exports to EEC excl. intra-EEC trade	5.2	4.5	5.5	6.3	6.1	7.4
Share of Canada in OECD exports to EFTA	11.2	11.3	11.7	11.2	10.8	10.4
Share of Canada in OECD exports to EFTA excl. intra-EFTA trade	15.6	16.2	16.9	16.3	16.0	15.8
Share of Canada in OECD exports to non-OECD countries	3.7	3.9	3.9	3.8	3.7	3.8

1 Includes iron and steel, other basic manufactures, mineral fuels and other inedible crude materials.

Source : OECD Secretariat.

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